listing of ICO tokens where the market prices are reflected. So, the prices of these new tokens also change and if the prices increase from the ICO price, the investor can sell them at the exchange and make profits. So this means that there can be two types of investor- one that invests or buys the tokens to be used later for purchase of services or the more traditional kind who believes that these tokens will appreciate in value and a profit can be made. A company following the second path of issuing a new cryptocurrency will need to develop its own blockchain and will be selling the new coins instead of tokens. This will not be pegged but will be traded as an independent cryptocurrency.

Move over IPO, ICO is here to take over.

Let's take a quick look at a typical ICO process.

- The company issues a white paper outlining the product or service, fund usage, growth plans, expected returns, whether they are issuing tokens or a new currency, where the tokens can be used etc.
- The company also sets a specific target investment to be achieved.
- A smart contract outlining the deal and details is entered into the network
- Willing individuals or investors register on the Ethereum platform and receive a new ETH wallet address into which they deposit their investment amount.
- At the end of the ICO, if the target investment is achieved, the investors receive the tokens.